

Fearnleys Dry Bulk Weekly

Aug 5, 2026

Capesize/Newcastlemax

Last week we suggested the market was bottoming, but did not expect a rally like we have seen over the last week. Cyclone-related delays and sentiment have surely played a part, but regardless, we might have underestimated the underlying fundamental strength.

Regarding fundamentals, every datapoint we see on iron ore and steel demand in China is bearish, with higher inventories, lower consumption, and lower prices. The situation on Bauxite is unusual, with shipments from Guinea exceeding June shipments in July, which has not happened in the previous six years. China's Bauxite imports plus domestic production as a ratio to Alumina production have averaged 3.5 in the last 4 months, compared to a long-term average of 2.8. Port inventories of Bauxite have increased this year as a result, though total levels remain below the 2021 peak, so they still do not seem excessive relative to consumption.

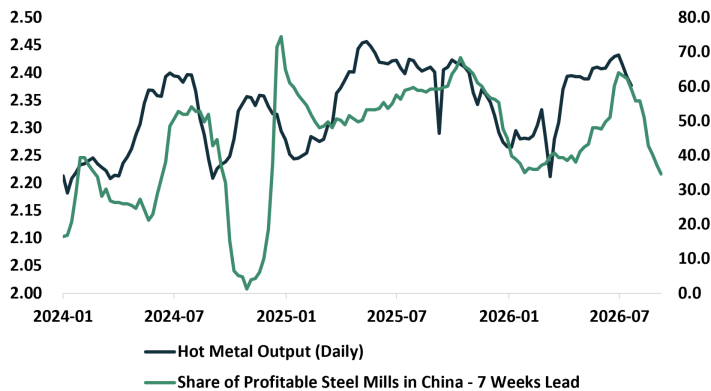
Top left chart: Clear suggestion by the falling share of profitable steel mills that hot metal output will continue to fall sharply through this month.

Top right chart: The iron ore futures curve spread reflects underlying fundamental conditions. The average cycle duration has been slightly over two years over the displayed period. The previous cycle bottom was in early 2025, implying Q2 2027 could be the next bottom.

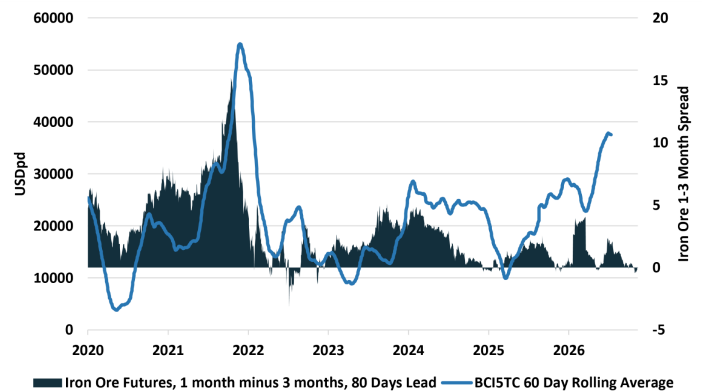
Bottom left chart: The SATI remains below the longer-term average, which still suggests the market could rally further.

Bottom right chart: The laden/ballast ratio is still at comparable levels to Q1, suggesting the market could rally further.

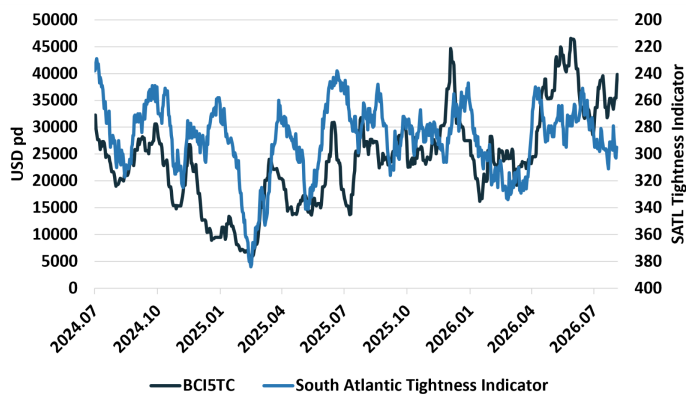
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



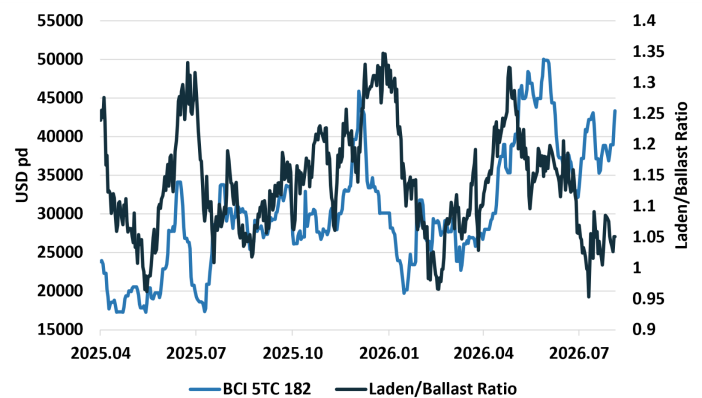
Iron Ore 1st - 3rd Month Spread vs BCI180



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio





Panamax/Kamsarmax

As suggested last week, the market found its footing and has mustered a rebound. Near-term indicators suggest the market will soften next month. Supply growth vs shipment volume growth remains finely balanced.

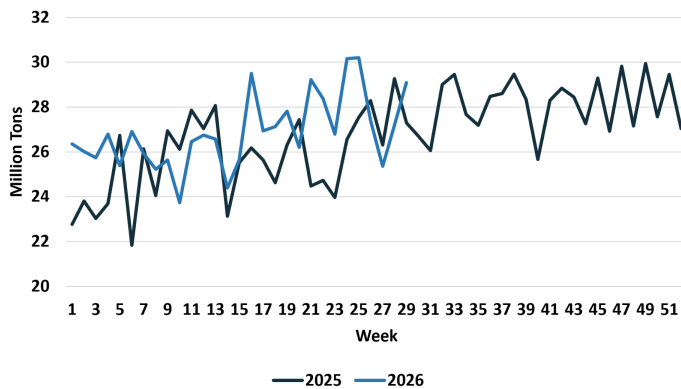
Top left chart: Shipment volumes were up 4.2% year on year through week 31. Supply growth was 4.1% at the latest reading.

Top right chart: The 2-month lead of the coal futures curve suggests the market will rise in August, then fall in September.

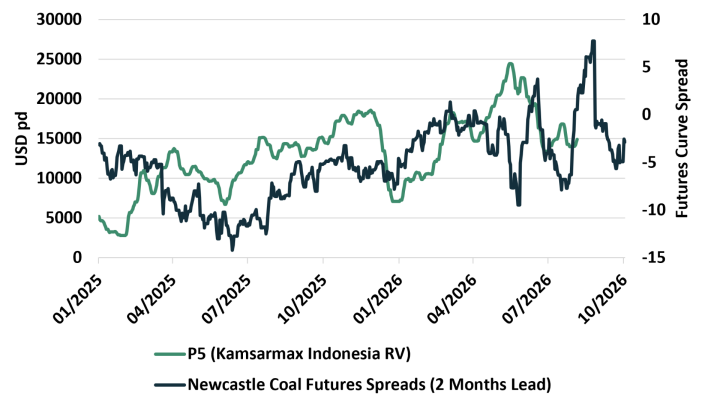
Bottom left chart: The Pacific tightness indicator suggests the market could peak in the middle of this month.

Bottom right chart: The SATL tightness indicator suggests P6 will rise through this month.

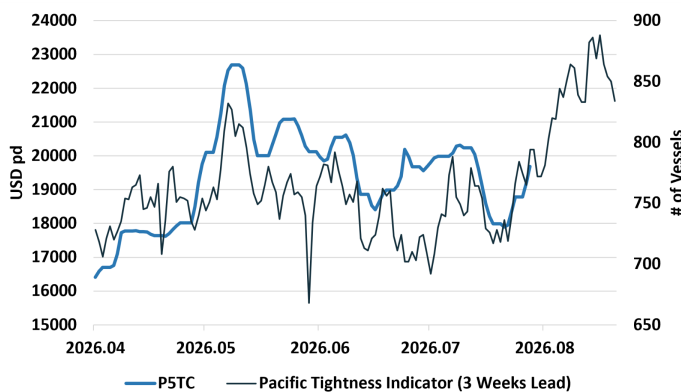
Weekly Shipment Volumes



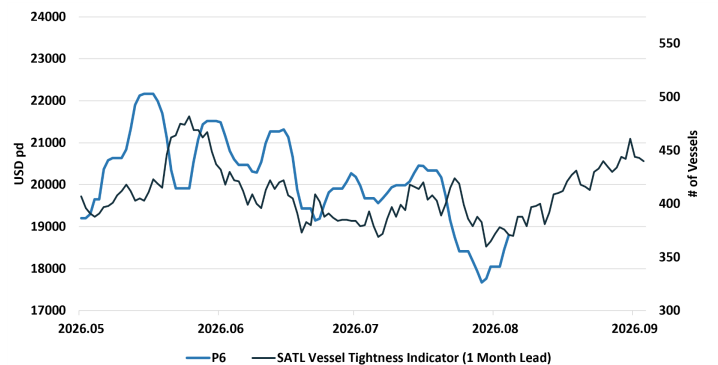
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 3 Weeks)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



Supramax/Ultramax

No change to what we wrote last week: *"The ballast/laden ratio has made a notable increase, the Ultramax spread over Handy7TC rose to the highest level since May 2024 (the market peak of that year), and shipment volume growth has dropped below supply growth. The outlook has turned more bearish."*

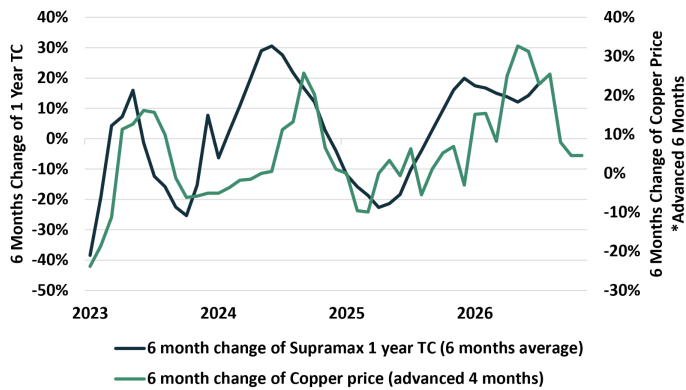
Top left chart: The loss of upward momentum in the price of copper suggests a similar development for the Supra/Ultra market going forward.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

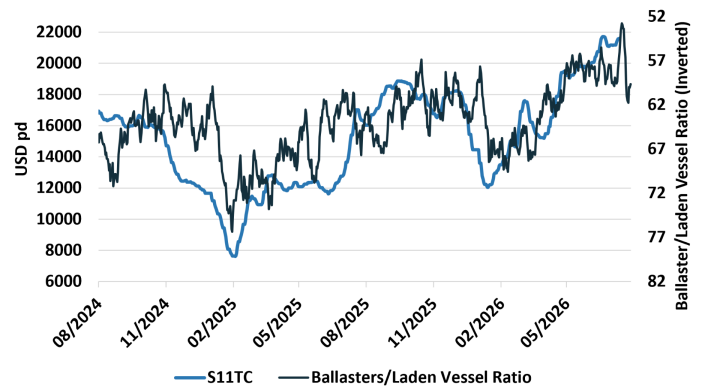
Bottom left chart: S11TC, HS7TC, and the spread between those indices. A high spread can indicate the market is peaking (and vice versa).

Bottom right chart: Through week 30, shipment volumes were up 4.6% year on year, compared to supply growth of 5.1%. Fundamentals remain positive as congestion and sailing distances are higher than last year.

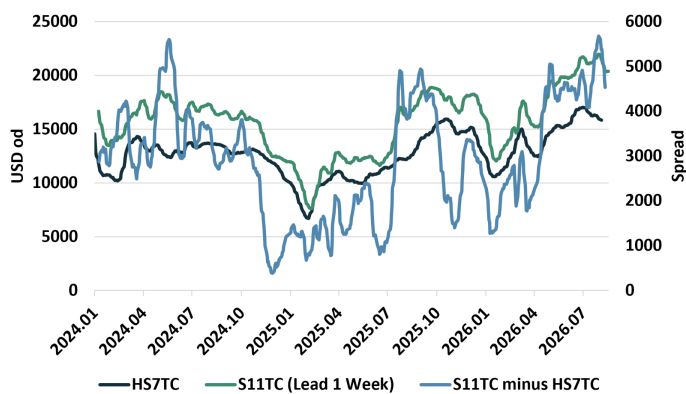
Copper Price 6 Months Change, 4 Months Lead, vs Supra 1 Year TC 6 Months Change



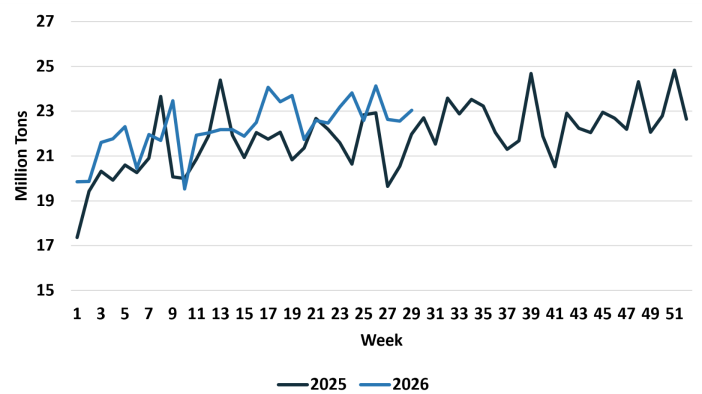
S11TC vs Ballaster/Laden Vessel Ratio



Ultramax Spread over Handysize



Weekly Shipment Volumes



Handysize

Our comment from last week: *"Hardly any upward reaction in this segment to the upward push seen for Supras/Ultras in the first weeks of July, which is uncommon and is a sign that fundamentals have weakened. The last time this happened was in late April/early May 2024, with the market peak of that year being in March."*

There could be a slight rebound now, given the stabilization of the Ultramax index, coupled with a low ratio between hs3 and hs5, which is often followed by a rebound in hs3.

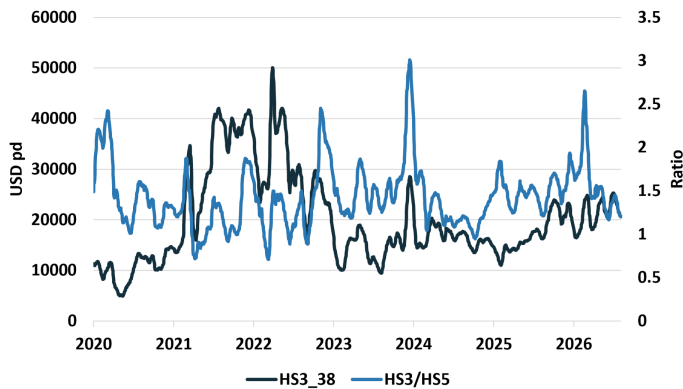
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 30, Handysize shipment volumes were 3.5% higher year on year, rising from under 3% seen about a month and a half ago. Supply growth is 2.8%.

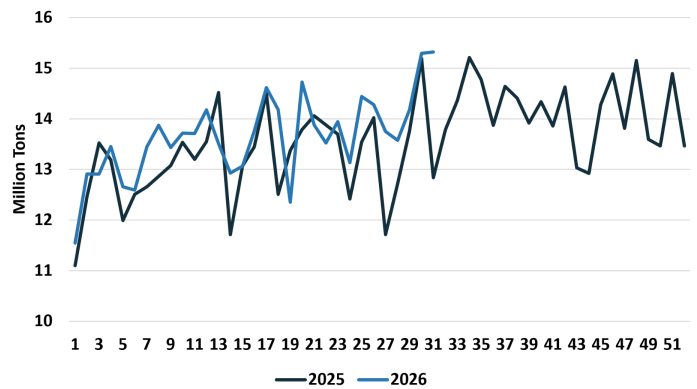
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The change in the price of copper is usually an accurate leading indicator for asset values.

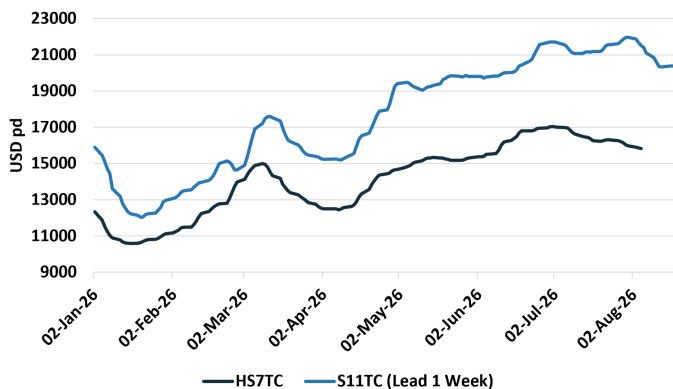
HS3 vs Ratio of HS3 and HS5



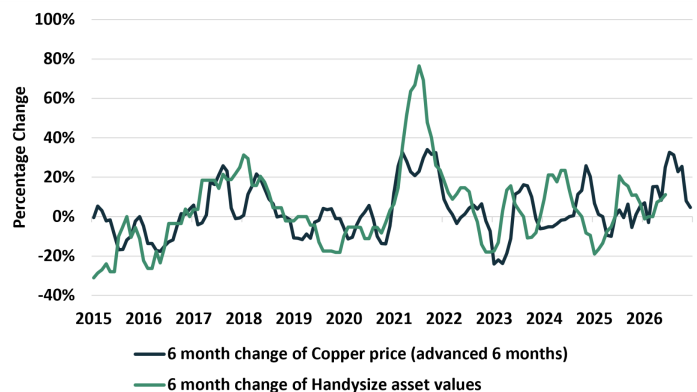
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Copper Price 6 Months Change, 6 Months Lead, vs Handysize 10 Year Old 6 Months Change





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Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company